Swing Trading with MoM

Level: Advanced

Prerequisites: #1 – Basic Strategy and #4 – Speculative Buy

The reversal level (RevL) is the backbone of our method and gets used on a “bullish above, bearish below” basis, as is explained in more detail in the Basic Strategy PDF (#1).

Its companion, the MoM indicator, is a measure of how a stock or index is moving around its reversal level.

MoM works on a numeric scale between +10 and -10 and different levels can be interpreted as a measure of market mood, as follows:

- +8 to +10: very optimistic | euphoric | overbought
- +5 to +8: optimistic
- +3 to +5: positive
- -3 to +3: neutral
- -3 to -5: negative
- -8 to -5: pessimistic
- -10 to -8: very pessimistic | depressed | oversold

Considering the RevL in combination with MoM we have four possible situations:

For a stock above its RevL (bullish):

- MoM is rising (fully bullish, dark green in the tables). Stock is probably still climbing.
- MoM is falling (weak bullish, pale green). Stock may pause or start a pull back.

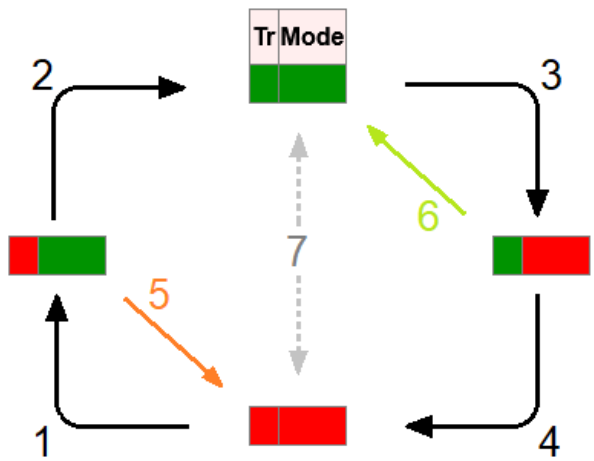
For a stock below its RevL (bearish):

- MoM is falling (fully bearish, red in the tables). Stock is probably still declining.
- MoM is rising (mild bearish, pink). Stock may pause or start a rebound.

A different situation can exist on the weekly and daily level, so each stock has a double color code in the daily tables: one for weekly trend (Tr) and one for daily mode (Mode).

Flowchart

Putting the MoM indicator aside for a moment we have four basic situations if we look at trend and mode from a simple bullish/bearish perspective. That gives us this flow chart.



When a stock (or index) is double red, the most common next step is going red-green on a daily Buy signal (arrow 1). Jumping straight to double green is possible, but very rare (arrow 7).

Once a stock is red-green, it can go two ways. Either it falls back to double red if a daily Sell signal follows (arrow 5). Or it goes on to double green by climbing above its weekly RevL (arrow 2).

On double green status, the typical next stage is going to green-red on a daily Sell signal (arrow 3). Going right to double red is possible, but rare (arrow 7).

When a stock is green-red we have again two possibilities. Either it returns to double green if a new daily Buy signal follows (arrow 6). Or it goes double red by falling below its weekly RevL (arrow 4).

MoM shows us the ongoing ebb and flow between those four basic situations. For example, in a double red situation, if MoM turns up the daily mode goes pink. It means the stock starts to lean towards going red-green. That's where we can step in for a swing trade. We are looking for arrow 1 to happen (maybe followed by arrow 2), and get out before arrow 5 (or arrow 3) happen.

Selecting swing trade candidates

First we sort our daily tables by clicking on the MoM column header. This is an example of what that gives on Nasdaq 100 table:

Daily reversal levels as of the close on January 2, 2026

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
Arm Holdings	ARM	114.73	7		127.06	-7.7 ▲	40	+27.42%		-0.70▼ 7
Pepsico Inc	PEP	142.23	0		146.69	-5.12 ▼	7	+3.26%		-0.56▼ 130
Zscaler Inc	ZS	220.57	6		247.18	-4.83 ▼	33	+27.39%		-0.46▼ 1
Datadog Inc	DDOG	133.77	2		146.94	-4.71 ▼	28	+15.26%		0.36▷ 22
O'Reilly Automotive	ORLY	90.34	3		94.73	-4.43 ▼	16	+4.31%		-0.37▼ 5
CDW Corporation	CDW	133.16	22		142.63	-4.3 ▼	10	+8.19%		-0.98▼ 85
Strategy Inc	MSTR	157.16	18		180.62	-3.95 ▲	58	+51.37%		-1.00▼ 12
CrowdStrike Holdings	CRWD	453.58	0		493.21	-3.81 ▼	30	+11.65%		0.37▷ 55
Globalfoundries	GFS	36.87	4		37.08	-3.21 ▲	10	-0.11%		-0.68▼ 137
IDEXX Laboratories	IDXX	669.99	35		699.28	-3.02 ▼	17	+5.69%		0.65▲ 31
Fastenal Company	FAST	40.44	11		41.69	-2.86 ▼	2	+0.86%		-0.79▼ 9

It is not necessarily the stock with the lowest MoM reading that is the best candidate in the list. Here that is ARM, with a -7.7, but MoM is going up already.

We look for candidates where MoM is turning up (shown with a yellow background), which gives us a chance to buy near a bottom. So here we have GFS, which fits that criterion. MoM bottoms around -5 or -3 can all be good setups for a swing trade.

Candidates where weekly trend (Tr) is bullish, or with a positive R, are somewhat better candidates, because that can act like a tailwind. But we really have to take a quick look at the chart. So, we just hover or tap on the stock tickers that look interesting.

If you have more time, then this can also be done for stocks where MoM is still going down, because we will often spot a day in advance that MoM is flattening out and ready to turn up the next day.

Looking at GFS, which has MoM turning up at -3.21. (this is a chart for Jan 16 already):

We just focus on the MoM indicator (the other indicators will be explained in PDF #9 and #10). Some of the better MoM bottoms below zero are circled in orange. Several nice swing trades, and this was by no means a hot stock over this one year period.

Some swings will go right towards a +8 MoM peak, and a touch of the Envelope, and then we usually have nice winner. Some trades will not do that, and then we get out when MoM turns back down. There is always a next chance.

The new “PuLL” indicator can be taken into account as well. Together with the use of the Envelope that will get explained in more detail in the PDF about the charts.

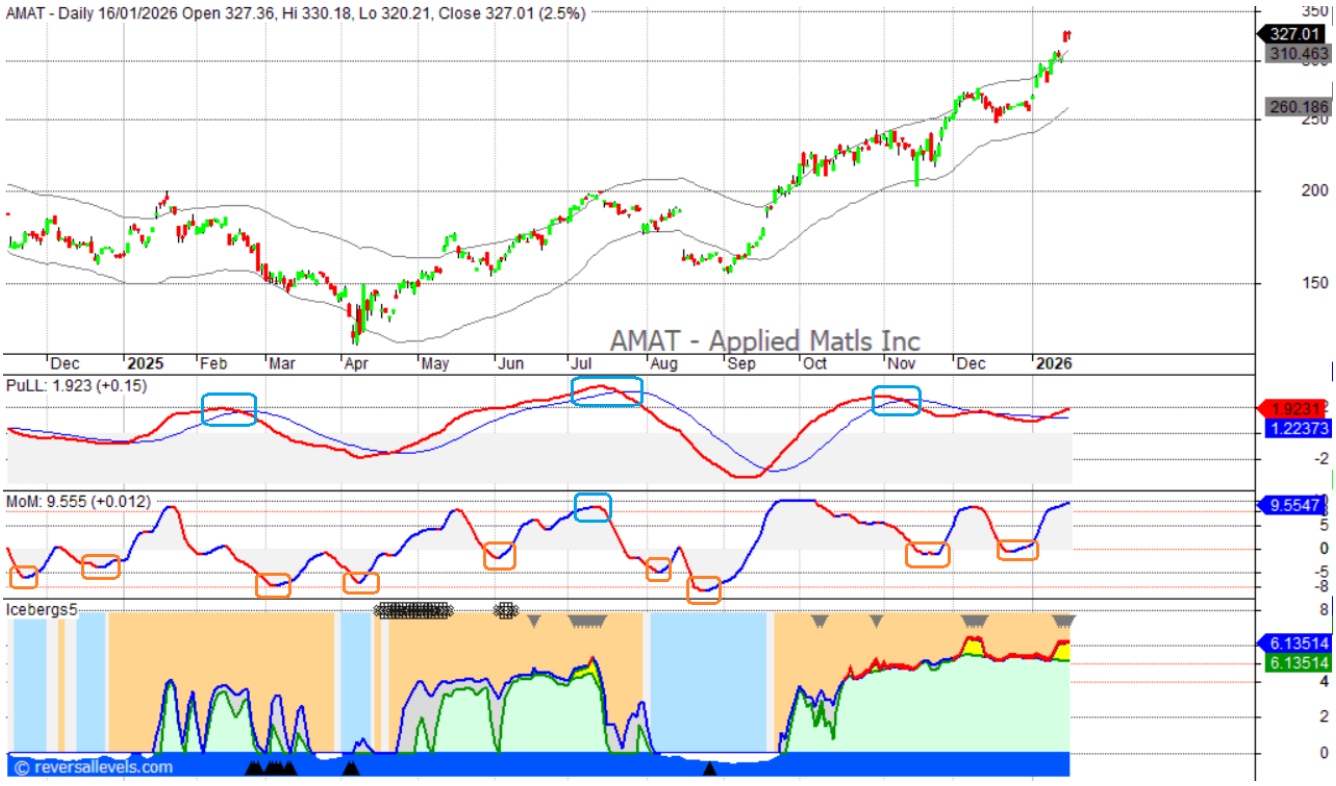
Stocks in strong bull runs may not come down to MoM -5 or -3. Such stocks offer chances too.

Here is AMAT, which was a bit further down our table:

Daily reversal levels as of the close on January 2, 2026

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
Applied Materials	AMAT	268.87	15		252.86	1.06 ▲	78	+60.13%		0.88 ▲ 9

A MoM bottom at +1.06 can give excellent swing trades, especially when trend and mode are bullish (double green), combined with a positive R value. Then we just go with the momentum. The chart (also for Jan 16):



We can see that the MoM bottoms tend to be closer to the zero line when a stock is in a strong up trend.

If the Envelope (grey lines in the upper chart) goes sideways or down, then it's better to wait for lower MoM bottoms, -3, -5 or even lower.

If the Envelope is in a solid up trend, then a MoM low near zero is often all we get. See the June, November and December lows in this example. Note that those setups became profitable swing trades.

Sometimes things get more complicated. An example is late July – early August 2025 in this chart. Abrupt changes and whipsaw moves can not be totally avoided. In this case PuLL had just turned down, so it provided a timely warning.

More on that in the PDF about the use of our charts.

There are a number of typical scenarios we need to handle:

1 – We buy on a good MoM low and MoM goes up for a few days, or even a week, and then turns back down. The stock doesn't gain any traction.

That's a red flag. Whenever MoM goes up from a low we want to see the stock go up too. If our stock stays near break even, then it's better to sell, even at a small 1 or 2% loss.

If the stock is down more significantly already, then we can opt for the "controlled risk" approach (explained below) to set a stop loss on the trade.

2 – We buy on a good MoM low and the stock starts going up, with MoM climbing too. But MoM slows down as soon as the stock nears to its RevL.

If MoM flattens out near the zero line, with the stock still in mild bearish mode (pink), then it's often better to take the small profit that is usually available at that point.

If the stock goes on to close above its RevL, which means a Buy signal, then we can still re-enter it as a normal Buy trade (or with the Opportunist entry, PDF #6) in the ensuing days.

3 – We buy on a good MoM low and the stock goes up. MoM keeps climbing and the stock closes above its RevL, so it goes in green mode. But then the move stalls and MoM doesn't go to the +5 peak where we intended to take our profit.

This is a luxury problem to have. Our short term swing trade is not working as hoped, but the stock got into bullish mode. We can keep it as a normal Buy trade, or just sell at a profit and look for a next chance.

4 – We buy as soon as Mom turns up, but it turns back down the next day already.

This is the least interesting scenario. If the downtick (in MoM) is very small and the stock is still near our entry price, then it may not mean much and turn back up the next day already. We can negate it on the first day, or put in a stop loss order just below the most recent candles.

If the stock is down more significantly and MoM drops more steeply, then it is best to use the controlled exit method to set a stop loss. See below.

5 – We buy on a good MoM low and the stock rises nicely with MoM going straight into the +5 or even +8 zone.

This is the best case scenario. We can take our profit as soon as MoM peaks out. Or we can move a stop loss sell order just below the recent candles to get out on the first signs of trouble. We can also decide to hold this stock until there is a regular Sell signal.

Controlled risk approach to exit trades.

With swing trades based on Mom indicator we do not have a clear stop-loss level. That's a major difference with the normal Buy/Sell trades, where the RevL takes up that role.

This means we need to control our risk in another way for this type of trades.

On a most simple level we can put in a stop-loss just below a well-chosen recent low. Since we are buying MoM bottoms we are usually buying near a low. We expect our trade to go up as soon as MoM goes up and if that's not the case it means the trade is not working. Just keep the loss small.

A more sophisticated method rests on balancing risk and reward. Below a certain price point our risk becomes bigger than potential reward, and that's where we decide to get out. This involves a quick calculation. It can not be included in the daily files, because it depends on our entry price and depending on when a spBuy signal was taken. Different traders will enter at different prices.

In this method we use the RevL as a good estimate of the remaining reward in a trade. As long as reward is greater than risk, the trade can be kept.

For example, let's say we just bought a stock at $100 and the RevL is at $104 today. That means the reward in this trade is $4 (104 - 100). We don't want to risk more than $4 on this trade. $100 - $4 becomes $96 and that's where we put our stop loss sell order. We can enter this as our sell stop as soon as we bought the stock.

Suppose the stock closes at $97 and the RevL changes to $103.60 on the next day. The remaining reward is now $3.60 (103.60 - 100). So now we get $96.40 as our new stop loss price (100 – 3.60) and we adjust our order. We keep adjusting the sell stop every day.

You can see how this works. As the RevL comes down, our stop loss sell price goes up. Either the stock will start moving in our favor, or it will be sold when our sell stop gets hit.

This is how we can aim for maximum staying power with limited risk.

So, the formula is simple:

Reward = RevL - EP (entry price)

Sell stop price = EP - Reward

or, alternatively:

Sell stop price = (EP * 2) - RevL

If we bought in two or more tranches, then we calculate our average cost basis and use that as EP in the calculation. But using the EP of the last tranche is viable too.

Notes:

1 – When buying MoM lows in bull markets (when weekly trend “Tr” is green), we will often sell too early. In multi-month rallies it is common to get a series of +8 peaks. We will often end up selling on the first +8 peak, only to see the stock continue to go much higher. The PuLL indicator can help us spot such extended moves. And we can always use discretion and decide to go from a swing trade to a longer term hold. Then we handle it as a normal Buy/Sell trade and keep until a Sell signal occurs (PDF #1).

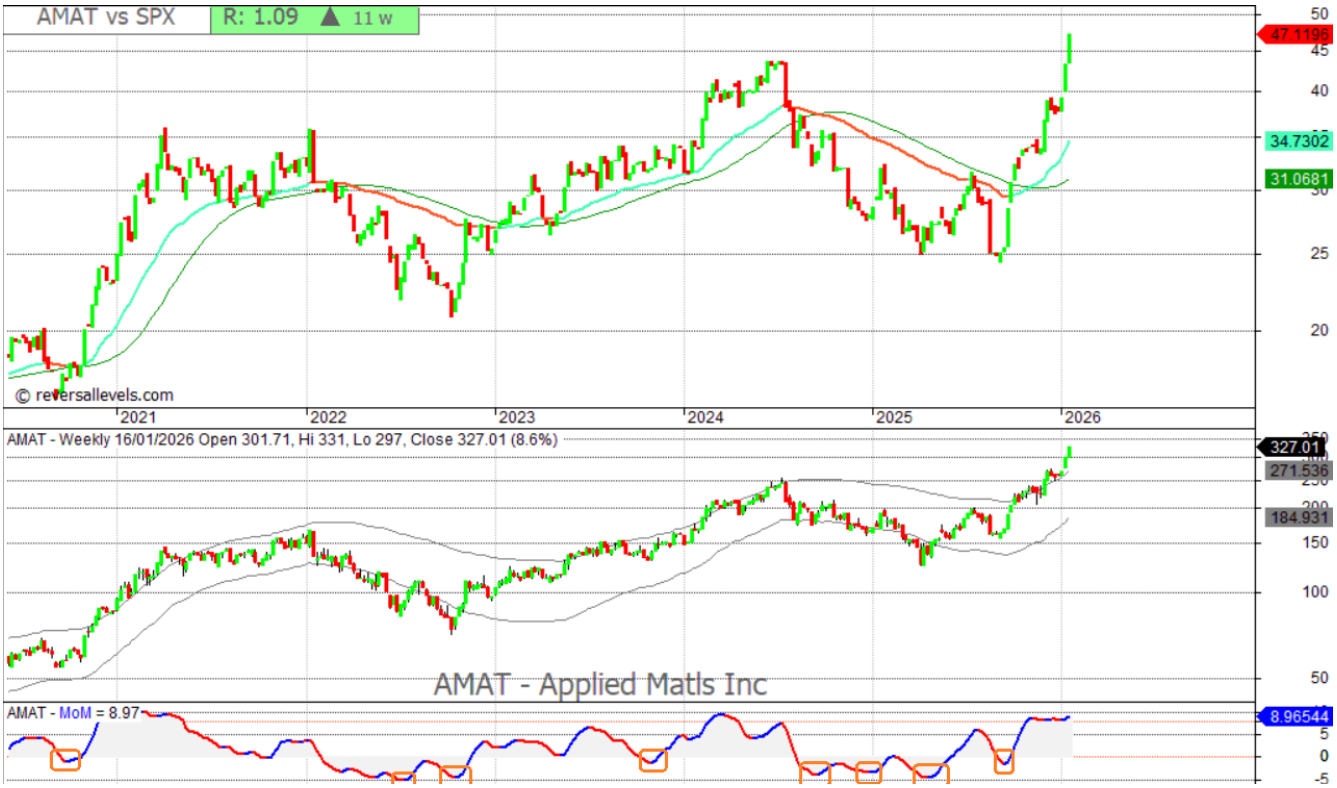
2 – There is a certain market asymmetry that can be seen in many stocks and indexes. In bull markets MoM moves above +8 are much more common than moves below -8. The reverse can be seen in bear markets. This also works in the other direction. If MoM rarely falls far below zero the stock is acting bullish, even though prices may not yet reflect that. If MoM fails to get well above zero and usually peaks around +1 on rallies, then the stock is acting bearish.

3 – In runaway bull moves MoM can each +10 and stay there for days. That are never easy conditions. It can become a blow-off peak and suddenly reverse when profit-taking kicks in. Then it’s better to be satisfied with the early profit. Err on the side of getting out too early. Or go with the PuLL indicator in the chart for a possible “bigger kill”.

4 – Once a MoM swing trade has gone into bullish mode we can stop using the controlled risk method. But we may want to keep a safety stop at or near our EP, not to let a profit turn into a loss.

5 – This method can also be used with the weekly MoM only. Then we get longer swings that can keep going for 3 to 4 months or more.

The weekly MoM indicator is at the bottom of our Rela charts. Here is AMAT:



Same approach. When the weekly Envelope is going down it's good to wait for -3 or -5 lows in MoM.

When the Envelope is rising then MoM lows near the zero line typically mark the best late entry chances. Even more so when R stays positive (as in late 2023 here).

In H1 of 2022 there were a few MoM lows that were too early, and that's when we would have cut our loss. In the bigger scheme of things those small losses are quite meaningless.

If we stick to good quality stocks there are significant rallies too, and one big mover will often take care of several small losses we took when entering the stock. It's all about persistence and sticking to the game plan.

6 – An earlier article (2017) with charts and examples: MoM will take care of you.

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